

Supply

Supply

If a firm supplies a good or a service, the firm

1. Has the resources and technology to produce it
 2. Can profit from producing it
 3. Plans to produce it and sell it
- **Supply** reflects a decision about which technologically feasible items to produce.

Supply

- As a group, producers determine the *supply* of a product.
- The *quantity supplied* is the amount of a particular good that producers plan to sell during a given time period at a particular price.
- The *law of supply* states that all other things remaining the same, the higher the price of a good, the higher the quantity supplied and vice versa.

The supply schedule

- A *supply schedule* displays the quantities supplied at various prices.
- This supply schedule provides the quantity of cellphones supplied at specific prices.
- Notice that as price

Cell phones (millions)
Price (\$)

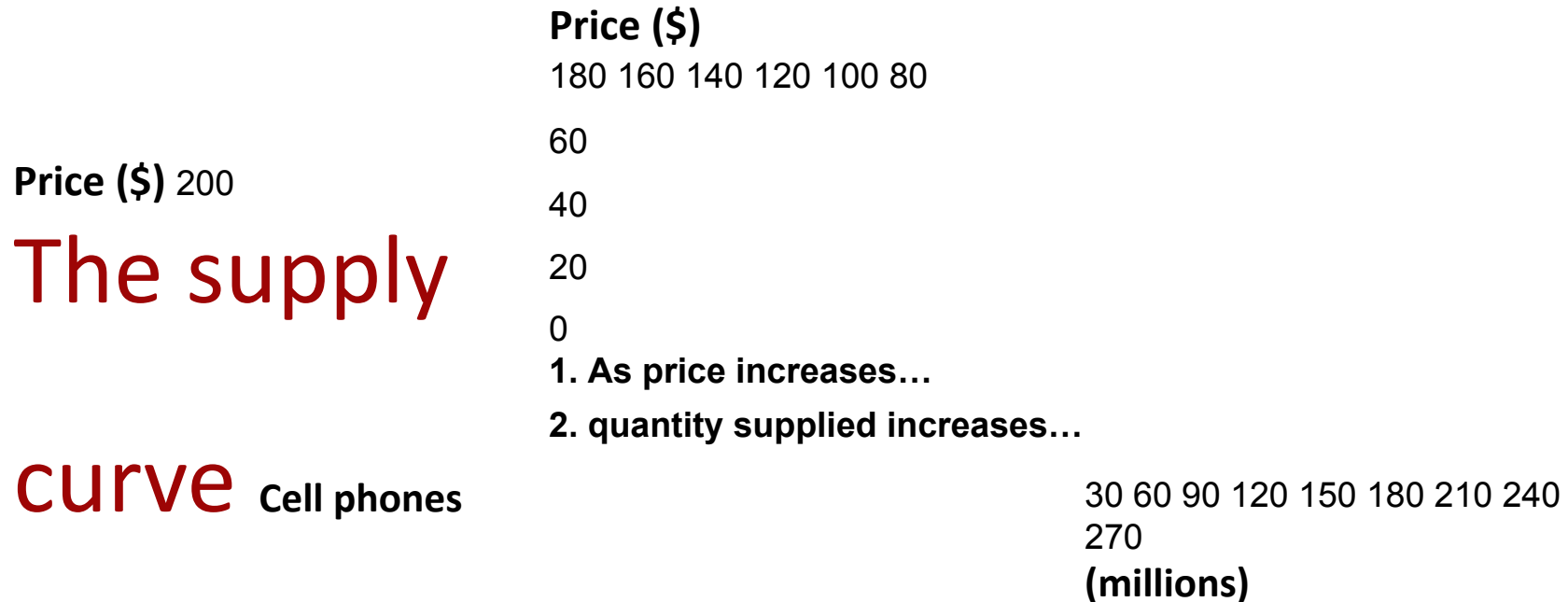
increases, the quantity supplied increases.

270	180
240	160
210	140
180	120
150	100

120	80
90	60
60	40

3020

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270	180	150	100	3020 Quantity of cell
240	160	120	80	
210	140	90	60	
180	120	60	40	

phones (millions) ³⁻⁵

Changes in supply

- The five most important *non-price determinants of supply* are:

Technology	Number of producers
Price of inputs	Price of related goods

Prices of inputs

- Inputs are *factors of production/costs of production*. - *If price of inputs increases then supply decreases and vice versa*
- *Government policies*
 - Taxes > decreases supply
 - Regulations > decreases supply
 - Subsidies > increases supply

- Natural factors like extreme weather conditions also influences supply

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Price of related goods

- *Substitutes* - goods produced using the same resources
 - *If price of a substitute increases, then supply of the other good decreases*
- *Complements* - goods that must be produced together

- *If price of a complement increases, then supply of the other good increases*

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Expected future prices

If the *price of a good is expected to rise*, the return from selling the good in the future is higher than it is today.

So supply decreases today and increases in the

future.

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Number of producers and technology

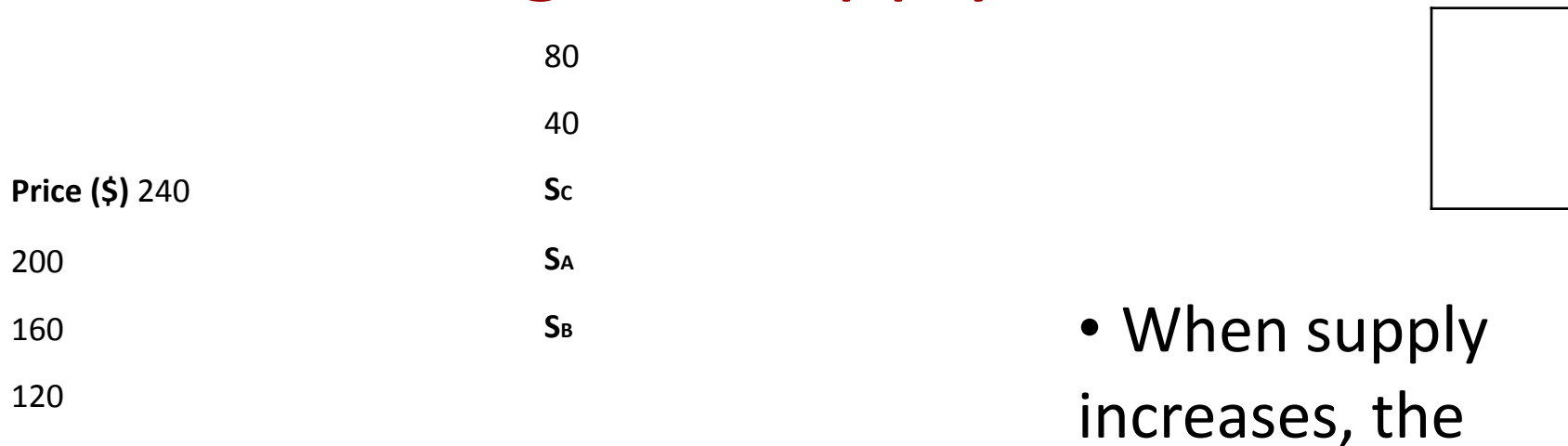
The larger the number of producers/suppliers, the greater is the supply of a good.

- **Technology** - the way factors of production are used to produce a good

- *A positive technology change increases supply and a negative technology change decreases supply.*

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Shifting the supply curve



supply curve shifts to the right.

- When supply

0 shifts to the left.
 0 60 120 180 240 300 Quantity of cell phones (millions)

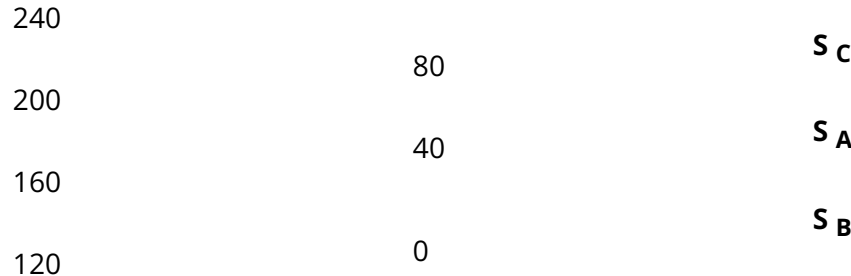
decreases, the supply curve

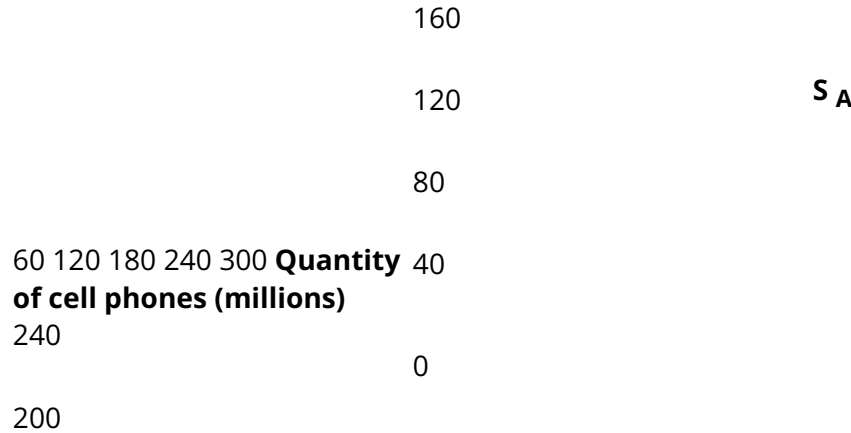
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Movements

Price (\$)

Shifts vs





If a non-price determinant changes, then the supply curve shifts with changes in the quantity supplied at every price.

60 120 180 240 300 **Quantity**
of cell phones (millions)

If the price decreases, then quantity supplied decreases and there is a movement along the supply curve.

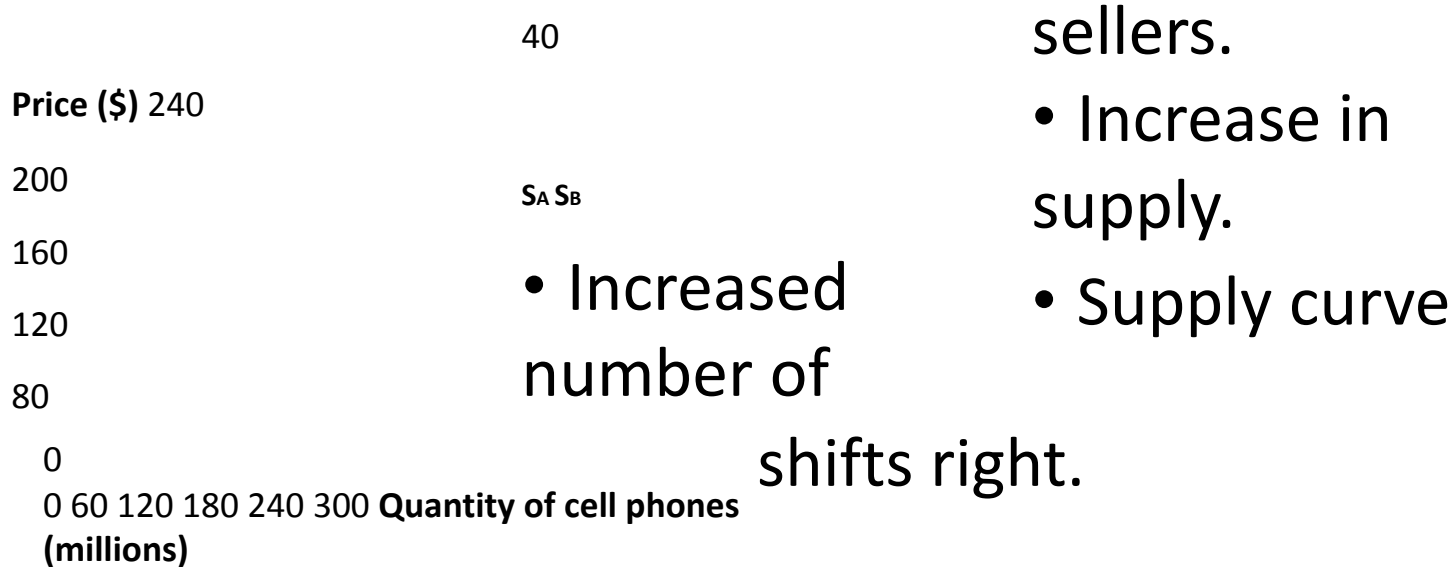
Shifts vs. movements: Example •

Indicate whether a shift or movement occurs in the market for cellphones when each of the following determinants change.

- A new Chinese cellphone manufacturer enters the market.
- Producers expect cellphones prices to rise.

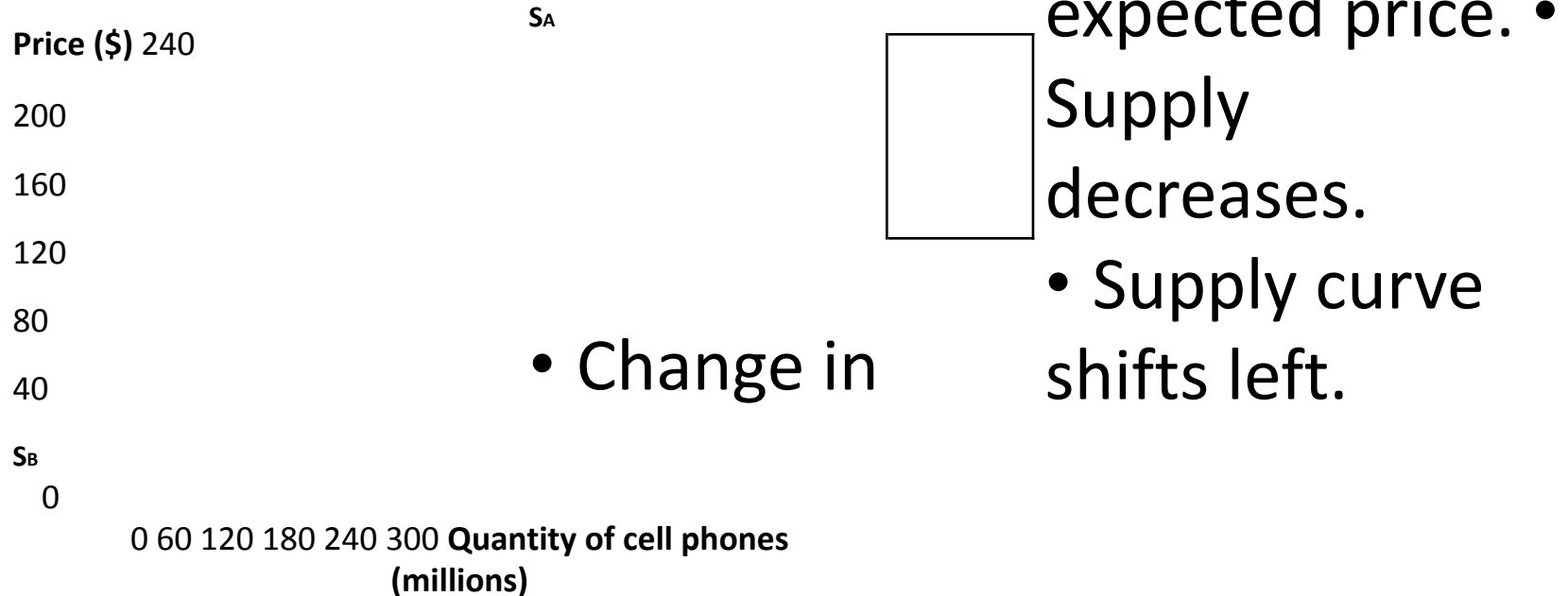
Shifts vs. movements

A new Chinese cellphone manufacturer enters the market.



Shifts vs. movements

Producers expect cellphones prices to rise.



Summary

- *Key concepts:*
 - Supply
 - Law of Supply
 - Supply schedule vs curve
 - Changes in supply
 - Supply shifts vs movements
- *Reading: Chapter 3 of “Economics” by Parkin,*

Powell, Mathews 6th Ed.